

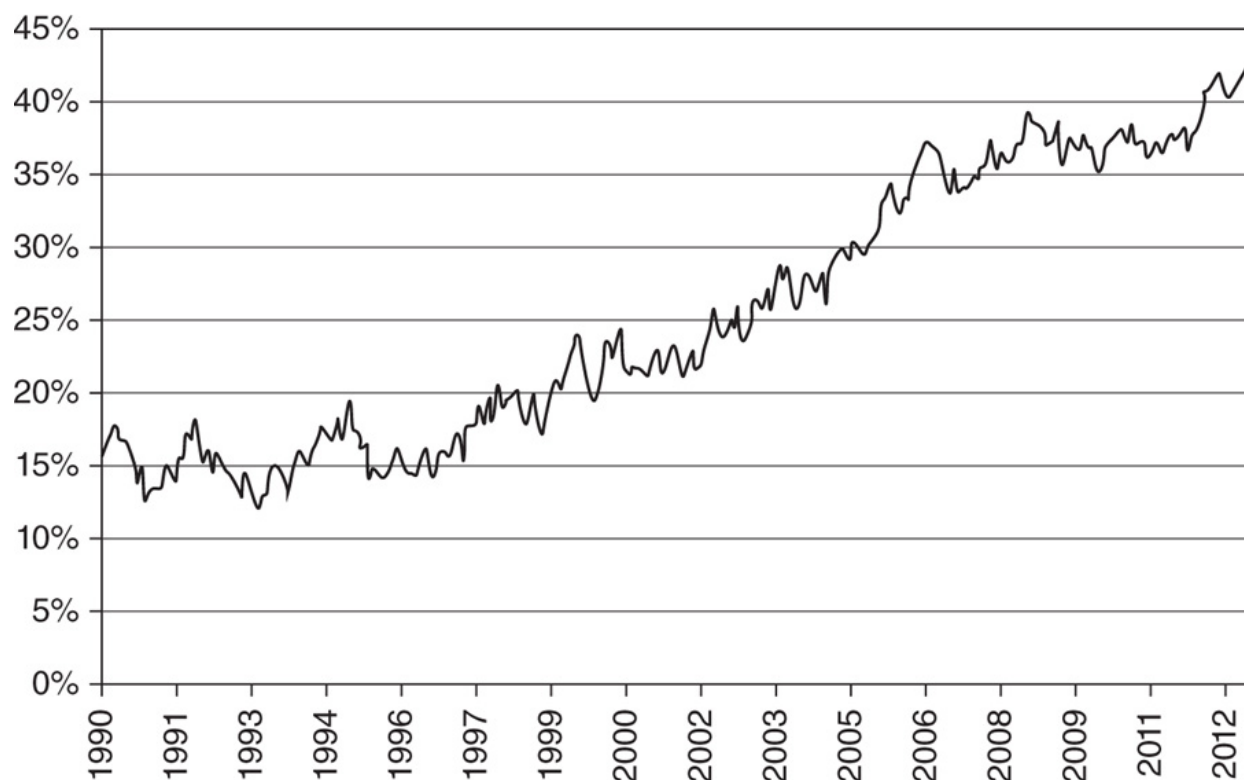


Figure 5.5 Percentage of Open Interest Held by Noncommercial

(Source: Adam Zaremba)

These new speculators tend to go long regardless of price. As the number of insurance providers (speculators) became increasingly large compared to the number of insurance buyers (hedgers), the roll yield dissipated and is now negative. From 1969 to 1992, the roll return averaged 11% per year. Since 2001, it has averaged a negative 6.6%.¹²

The cumulative roll yield gain that existed up to 1970 was all lost by the end of 2009. Passive commodities indexes are still below their high-water marks reached in 2008. The odds are now stacked against those who hold long commodity futures. Yet passive commodities are still widely touted as a desirable portfolio diversifier.

Several newer commodity indexes, like the Deutsche Bank Liquid Commodity Index Optimum Yield or the SummerHaven Dynamic indexes, try to reduce the roll yield disadvantage by selectively seeking futures contracts, when possible, that still offer a positive roll premium. However, passive commodity index funds, regardless of their roll premium capture